

index funds and ETFs that follow these benchmarks an excellent choice for a portfolio. Their low cost, broad diversification, low tracking error with the markets, and high tax efficiency make these index funds and ETFs ideally suited to an asset allocation strategy. There are a large and growing number of index funds and ETFs on the market today that track many different asset classes, styles, and sectors. Several of these funds are highlighted at the end of each chapter in [Part Two](#).

DON'T OVERANALYZE

The information presented in this book will get you thinking deeply about how to optimize an asset allocation for your needs. That is exactly the intent of this book. You should spend some time thinking about how the strategy works before you design a portfolio and implement a plan. However, at some point you must finish your work and implement your decisions.

There can be a tendency to overanalyze market data in an attempt to find the ideal asset allocation. That is not a good idea. The ideal asset allocation can be known only in retrospect. You cannot know what it is today. Consequently, the quest to find the perfect plan becomes a never-ending undertaking. At some point you will hit analysis paralysis and nothing gets done. The Prussian General Karl von Clausewitz once said, “The greatest enemy of a good plan is the dream of a perfect plan.”

You can never know everything about every asset class, style, and sector. Even if you were to become very knowledgeable about asset classes and how they work together, you still could not know for certain how the portfolio will act in the future. You can only develop a portfolio that has a high probability of success, implement the portfolio as is, and maintain it. No portfolio guarantees success, but a plan never implemented is sure to fail.

Take the time to establish a prudent investment plan for your needs, implement that plan, and begin to maintain it. Putting a good plan into action today is much better than searching for a perfect plan that cannot be known in advance.

CHAPTER SUMMARY

Successful investing requires the design, implementation, and maintenance of a long-term investment strategy that is based on your unique needs. Asset